

use. Mutual funds have a 300% maximum asset coverage (i.e., they can borrow up to 33.3%), and closed-end funds have maximum coverages of 300% for debt and 200% for preferred stock. Many funds choose themselves not to borrow at all, and also place other restrictions on their investing styles.¹⁴

Limiting Compensation

Mutual fund performance-based fees must be *symmetrical* around a chosen benchmark, which is referred to as a *fulcrum fee*, and fully disclosed.¹⁵ In practice, performance-based fees also have an upper and lower limit. The law rules out *asymmetric contracts* such as contingent bonuses and option-like fees. Chapter 15 showed that using these types of contracts can increase investor welfare. (Hedge funds, which are exempt from 40-Act registration, are free to pay managers in whatever manner they wish; see chapter 17.) Most mutual funds do not employ performance fees. But for the small number of funds that do, Elton, Gruber, and Blake (2003) report that they have a slight edge over their peers without performance fees. However, funds with performance fees tend to increase risk following bad performance.

There are few restrictions on the structure of the general management fee charged by the advisor, except that the 40-Act specifies that the investment advisor of a registered investment company has a fiduciary duty to protect mutual fund shareholders from excessive fees.¹⁶ The usual management fee is a percentage of AUM.

2.3. THERE ARE STILL AGENCY PROBLEMS

While disclosure is mandatory, the presentation can be opaque. Few people read prospectuses before investing, and they are dense and require skill to understand in full. Although fees are disclosed, few investors take the trouble to look; a survey conducted by AARP (formerly the American Association of Retired Persons) in February 2011 found that 71% of respondents thought they did not pay any fees!¹⁷

The United States lags other countries in the disclosure of retirement asset fees. There are fees paid to the funds in the retirement plans, to the administrators

¹⁴See Almazan et al. (2004) for an analysis of self-imposed investment constraints by mutual funds.

¹⁵This is under the 1970 amendment of the Investment Advisers Act of 1940.

¹⁶Deli (2002) and Warner and Wu (2011) investigate mutual fund contracts. Coles, Suay, and Woodbury (2000) examine the compensation contracts of closed-end funds. The standard to prove mutual fund fees are “excessive” is extremely high (called the Gartenberg standard, after Gartenberg vs. Merrill Lynch Asset Management, Inc.) and many argue the law has failed; see, for example, Johnson (2009). Most suits never see trial and are dismissed because they are unable to isolate management fees from administrative costs. An important recent court case, Kasilag et al. vs. Hartford Investment Financial Services, is unresolved at the time of writing and could change this. See Braham, L., “Lawsuit Shines a Harsh Light on Subadvisory Fund Fees,” Bloomberg, Feb. 21, 2013.

¹⁷AARP, “401(k) Participants’ Awareness and Understanding of Fees,” Feb. 2011.